

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 ENGROSSED SENATE
5 BILL NO. 1090

By: Thompson of the Senate

and

Lawson of the House

6
7
8
9 [public finance - Invest In Oklahoma program - State
10 Treasurer - personnel - promulgation of rules - Cash
11 Management and Investment Oversight Commission -
12 investments - reports - effective date]

13 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

14 SECTION 1. AMENDATORY 62 O.S. 2021, Section 2401, as
15 amended by Section 2, Chapter 375, O.S.L. 2024 (62 O.S. Supp. 2024,
16 Section 2401), is amended to read as follows:

17 Section 2401. A. ~~The Oklahoma Center for the Advancement of~~
18 ~~Science and Technology (OCAST)~~ State Treasurer shall create an
19 "Invest In Oklahoma" program to provide entities in this state with
20 funds for opportunities to invest in Oklahoma-based private equity
21 funds, venture capital funds and growth funds, and direct
22 investments in Oklahoma companies. ~~Opportunities for investment~~
23 ~~shall also include private equity funds, venture capital funds and~~
24 ~~growth funds that make substantial investments in this state.~~

1 ~~B. OCAST shall select venture capital and growth funds to~~
2 ~~qualify for investments within the Invest In Oklahoma Program~~ The
3 State Treasurer may retain qualified investment advisors or
4 fiduciary managers to assist in the selection of private equity,
5 venture capital, growth funds, and direct investments in Oklahoma
6 companies based on factors including, but not limited to:

- 7 1. Rate of return;
- 8 2. Years of operation;
- 9 3. Sufficiency of capitalization;
- 10 4. Investment performance track record;
- 11 5. Differentiation and sustainability of investment strategy;
- 12 6. Fee structure;
- 13 7. Background of limited partners; and
- 14 8. Ratio of capital invested in this state.

15 C. ~~OCAST~~ The State Treasurer shall exercise judgement and care,
16 under circumstances then prevailing, which persons of prudence,
17 discretion and intelligence exercise in the management of their own
18 affairs, for investment, considering the probable safety of their
19 capital as well as the probable income to be derived when
20 determining qualifying venture capital and growth funds to ensure
21 the funds are being appropriately managed and invested.

22 D. ~~OCAST~~ The State Treasurer shall develop a request for
23 proposal ~~that includes the factors provided in subsection B of this~~
24 ~~section.~~ ~~OCAST shall maintain a list of available venture capital~~

1 ~~and growth funds which are participating in the Invest In Oklahoma~~
2 ~~Program in which public entities are encouraged to invest for~~
3 ~~investment advisors and fiduciary managers that include their~~
4 ~~qualifications and experiences in investing in private equity,~~
5 ~~venture capital, growth funds, and direct investments in Oklahoma~~
6 ~~companies. The Treasurer shall also maintain a list of available~~
7 ~~private equity, venture capital, and growth funds who are operating~~
8 ~~in Oklahoma.~~

9 SECTION 2. AMENDATORY 62 O.S. 2021, Section 2402, is
10 amended to read as follows:

11 Section 2402. A. The following public entities are encouraged
12 to and may invest up to five percent (5%) of their rolling ~~three (3)-~~
13 ~~year~~ three-year assets under management with the Invest In Oklahoma
14 ~~Program~~ program approved venture capital and growth funds as
15 provided in Section ~~2 of this act~~ 2401 of this title:

- 16 1. The Board of Investors of the Tobacco Settlement Endowment
17 Trust Fund;
- 18 2. The Commissioners of the Land Office;
- 19 3. The Teachers' Retirement System of Oklahoma;
- 20 4. The Oklahoma Public Employees Retirement System;
- 21 5. The Oklahoma Firefighters Pension and Retirement System;
- 22 6. The Oklahoma Police Pension and Retirement System;
- 23 7. The Oklahoma Law Enforcement Retirement System;
- 24

1 8. ~~The State of Oklahoma~~ Uniform Retirement System for Justices
2 and Judges; and

3 9. The Department of Wildlife Conservation Retirement Fund.

4 B. The State Treasurer is encouraged to and may invest with the
5 Invest In Oklahoma program pursuant to subsection D of Section 89.2
6 of this title.

7 SECTION 3. AMENDATORY 62 O.S. 2021, Section 2403, as
8 amended by Section 3, Chapter 375, O.S.L. 2024 (62 O.S. Supp. 2024,
9 Section 2403), is amended to read as follows:

10 Section 2403. ~~The Oklahoma Center for the Advancement of~~
11 ~~Science and Technology~~ State Treasurer shall promulgate rules to
12 enforce the provisions of the Invest In Oklahoma Act.

13 SECTION 4. AMENDATORY 62 O.S. 2021, Section 71.1, is
14 amended to read as follows:

15 Section 71.1. A. There is hereby created the Cash Management
16 and Investment Oversight Commission. The Commission shall consist
17 of five (5) members as follows:

18 1. ~~The Director of the Office of Management and Enterprise~~
19 ~~Services, or designee~~ Governor;

20 2. ~~The Bank Commissioner, or designee~~ Lieutenant Governor;

21 3. ~~The Administrator of the Oklahoma Department of Securities,~~
22 ~~or designee~~ State Auditor and Inspector;

23 4. ~~One citizen member appointed by the~~ The Speaker of the House
24 of Representatives ~~who shall have a demonstrated expertise in public~~

1 ~~or private investment finance and who shall serve at the Speaker's~~
2 ~~pleasure; and~~

3 5. ~~One citizen member appointed by the~~ The President Pro
4 Tempore of the State Senate ~~who shall be a certified public~~
5 ~~accountant or public accountant with a demonstrated expertise in~~
6 ~~public or private auditing procedures and who shall serve at the~~
7 ~~President Pro Tempore's pleasure.~~

8 B. ~~The appointed members shall have no direct or indirect~~
9 ~~business relationship with the State Treasurer or the State~~
10 ~~Treasurer's Office.~~

11 ~~C.~~ The Commission shall elect from its membership a ~~chairperson~~
12 chair and ~~vice chairperson~~ vice chair. Such officers shall serve
13 one-year terms and may be reelected. ~~There shall be an Executive~~
14 ~~Review Committee of the Cash Management and Investment Oversight~~
15 ~~Commission consisting of the Director of the Office of Management~~
16 ~~and Enterprise Services, the Bank Commissioner and the Administrator~~
17 ~~of the Oklahoma Department of Securities or their respective~~
18 ~~designees. The Director of the Office of Management and Enterprise~~
19 ~~Services shall call a meeting to organize the Executive Review~~
20 ~~Committee. The Executive Review Committee shall elect from its~~
21 ~~membership a chairperson who shall serve for a period of one (1)~~
22 ~~year and who may be reelected. The Executive Review Committee shall~~
23 ~~meet at such times as it deems necessary for the performance of its~~
24 ~~duties.~~

1 ~~D.~~ C. The Commission shall hold regular meetings at least once
2 each quarter, and at such other times as it deems necessary for the
3 performance of its duties. The date, time and place of the meetings
4 shall be set by the Commission. The Office of Management and
5 Enterprise Services shall provide the administrative support
6 required by the Commission. The Commission shall be staffed by the
7 Office of Management and Enterprise Services who shall prepare all
8 materials and information needed by the Commission to perform its
9 duties and responsibilities. Meetings of the Commission ~~and of the~~
10 ~~Executive Review Committee of the Commission~~ shall be subject to the
11 Oklahoma Open Meeting Act, and their records shall be public records
12 pursuant to the Oklahoma Open Records Act.

13 ~~E.~~ D. The Commission ~~in conjunction with the State Auditor and~~
14 ~~Inspector~~ shall develop a standardized and uniform reporting system
15 which the State Treasurer shall use to make the reports required by
16 Section 89.7 of this title. The Commission shall prescribe such
17 forms in order to obtain an objective and accurate analysis of the
18 investment of state funds by the State Treasurer and to obtain an
19 accurate analysis of investment performance according to an
20 objective standard established by the Commission. The Commission
21 shall not be subject to the provisions of the Administrative
22 Procedures Act for purposes of developing the reporting system
23 required by this subsection. The Commission shall review the
24 reports prepared by the State Treasurer pursuant to Section 89.7 of

1 this title. The Commission shall review with the State Treasurer
2 investment strategies and practices and the development of internal
3 auditing procedures and practices. The Commission shall review the
4 reports submitted by the State Treasurer and shall identify any
5 event, transaction or trend which the Commission determines to
6 represent a violation or potential violation of law or public policy
7 regarding the investment of state funds. The Commission shall
8 specifically identify its concerns or objections and shall
9 communicate such concerns or objections in writing to the State
10 Treasurer.

11 ~~F.~~ E. The Commission staff shall submit a written report to
12 each member of the Commission for each ~~month~~ quarter of the calendar
13 year which specifically identifies entities with whom or with which
14 the State Treasurer has transacted business related to investment of
15 any state funds during the applicable reporting period. Any person
16 or entity to whom or to which any form of compensation has been or
17 will be paid for services rendered to the Office of the State
18 ~~Treasurer's Office~~ Treasurer related to the investment of state
19 funds shall be identified in the report. ~~The report shall also be~~
20 ~~submitted to the Director of the Office of Management and Enterprise~~
21 ~~Services, the State Auditor and Inspector, the Speaker of the House~~
22 ~~of Representatives, the President Pro Tempore of the Senate and the~~
23 ~~Governor.~~

24

1 ~~G.~~ F. Members of the Commission shall serve without
2 compensation, except for travel, pursuant to the State Travel
3 Reimbursement Act, ~~to be paid by the appointing authority.~~

4 ~~H.~~ G. The Commission may make written recommendations for
5 changes in legislation to the Legislature or in the policies or
6 procedures and practices of the State Treasurer to the State
7 Treasurer.

8 ~~I.~~ H. The Commission shall determine the positions, including,
9 but not limited to, the investment officer, in the Office of the
10 State Treasurer's Office Treasurer which shall require criminal
11 background investigations by the Oklahoma State Bureau of
12 Investigation. The Bureau shall advise the State Treasurer and the
13 Cash Management and Investment Oversight Commission in writing of
14 the results of the investigation.

15 SECTION 5. AMENDATORY 62 O.S. 2021, Section 89.2, is
16 amended to read as follows:

17 Section 89.2. A. The State Treasurer is directed to invest the
18 maximum amount of funds under control of the State Treasurer
19 consistent with good business practices. Except as otherwise
20 provided for by law, the investments shall earn not less than the
21 rate for comparable maturities on United States Treasury
22 obligations. Except as otherwise provided for by law, the State
23 Treasurer may purchase and invest only in:

1 1. Obligations of the United States ~~Government~~ government, its
2 agencies and instrumentalities, or other obligations fully insured
3 or unconditionally guaranteed as to the payment of principal and
4 interest by the United States government or any of its agencies and
5 instrumentalities;

6 2. Collateralized or insured certificates of deposit and other
7 evidences of deposit at banks, savings banks, savings and loan
8 associations and credit unions located in this state;

9 3. Negotiable certificates of deposit issued by a nationally or
10 state-chartered bank, a savings bank, a savings and loan association
11 or a state-licensed branch of a foreign bank. Purchases of
12 negotiable certificates of deposit shall not exceed ten percent
13 (10%) of the cash available for investment which may be invested
14 pursuant to this section. Not more than one-half (1/2) of the ten
15 percent (10%) limit shall be invested in any one financial
16 institution specified in this paragraph;

17 4. Prime banker's acceptances which are eligible for purchase
18 by the Federal Reserve System and which do not exceed two hundred
19 seventy (270) days' maturity. Purchases of prime banker's
20 acceptances shall not exceed ten percent (10%) of the cash available
21 for investment which may be invested pursuant to this section. Not
22 more than three-fourths (3/4) of the ten percent (10%) limit shall
23 be invested in any one commercial bank pursuant to this paragraph;
24

1 5. Prime commercial paper which shall not have a maturity that
2 exceeds one hundred eighty (180) days nor represent more than ten
3 percent (10%) of the outstanding paper of an issuing corporation.
4 Purchases of prime commercial paper shall not exceed seven and one-
5 half percent (7 1/2%) of the cash available for investment which may
6 be invested pursuant to this section;

7 6. Investment grade obligations of state and local governments,
8 including obligations of Oklahoma state public trusts which possess
9 the highest rating from at least one nationally recognized rating
10 agency acceptable to the State Treasurer. Purchases of investment
11 grade obligations of state and local governments shall not exceed
12 ten percent (10%) of the cash available for investment which may be
13 invested pursuant to this section;

14 7. Repurchase agreements, provided that such agreements are
15 included within the written investment policy required by subsection
16 D of this section that have underlying collateral consisting of
17 those items and those restrictions specified in paragraphs 1 through
18 6 of this subsection;

19 8. Money market funds and short term bond funds regulated by
20 the Securities and Exchange Commission and which investments consist
21 of those items and those restrictions specified in paragraphs 1
22 through 7 of this subsection; and

23 9. Bonds, notes, debentures or other similar obligations of a
24 foreign government which the International Monetary Fund lists as an

1 industrialized country and for which the full faith and credit of
2 such nation has been pledged for the payment of principal and
3 interest; provided, that any such security shall be rated at least
4 A- or better by ~~Standard & Poor's Corporation~~ S&P Global or A3 or
5 better by Moody's Investors Service, or an equivalent investment
6 grade by a securities ratings organization accepted by the National
7 Association of Insurance Commissioners; and provided further, that
8 the total investment in such foreign securities at any one time
9 shall not exceed five percent (5%) of the cash available for
10 investment which may be invested pursuant to this section. In no
11 circumstance shall investments be made in bonds, notes, debentures
12 or any similar obligations of a foreign government that:

13 a. is identified as a state sponsor of terrorism by the
14 United States Department of State, or

15 b. any authoritarian or totalitarian government the
16 sovereign powers of which are exercised through a
17 single person or group of persons who are not elected
18 by any form of legitimate popular voting.

19 B. Investments shall be made with judgment and care, under
20 circumstances then prevailing, which persons of prudence, discretion
21 and intelligence exercise in the management of their own affairs,
22 not for speculation, but for investment, considering the probable
23 safety of their capital as well as the probable income to be
24 derived.

1 C. The State Treasurer shall appoint an investment officer who
2 shall perform duties related to the investment of state funds in the
3 Office of the State Treasurer. The investment officer shall not
4 perform or supervise any accounting functions, data processing
5 functions or duties related to the documentation or settlement of
6 investment transactions.

7 D. The State Treasurer may invest up to five percent (5%) of
8 the maximum amount of funds under the control of the State Treasurer
9 invested pursuant to subsection A of this section into the Invest In
10 Oklahoma program.

11 E. Investments of public funds by the State Treasurer shall be
12 made in accordance with written policies developed by the State
13 Treasurer. The written investment policies shall address:

- 14 1. Liquidity;
- 15 2. Diversification;
- 16 3. Safety of principal;
- 17 4. Yield;
- 18 5. Maturity and quality; and
- 19 6. Capability of investment management.

20 The State Treasurer shall place primary emphasis on safety and
21 liquidity in the investment of public funds. To the extent
22 practicable, taking into account the need to use sound investment
23 judgment, the written investment policies shall include provision
24 for utilization of a system of competitive bidding in the investment

1 of state funds. The written investment policies shall be designed
2 to maximize yield within each class of investment instrument,
3 consistent with the safety of the funds invested.

4 ~~E.~~ F. The State Treasurer shall select one custodial bank to
5 settle transactions involving the investment of state funds under
6 the control of the State Treasurer. The State Treasurer shall
7 review the performance of the custodial bank at least once every
8 year. The State Treasurer shall require a written competitive bid
9 every five (5) years. The custodial bank shall have a minimum of
10 Five Hundred Million Dollars (\$500,000,000.00) in assets to be
11 eligible for selection. Any out-of-state custodial bank shall have
12 a service agent in ~~the State of Oklahoma~~ this state so that service
13 of summons or legal notice may be had on such designated agent as is
14 now or may hereafter be provided by law. In order to be eligible
15 for selection, the custodial bank shall allow electronic access to
16 all transaction and portfolio reports maintained by the custodial
17 bank involving the investment of state funds under control of the
18 State Treasurer. The access shall be given to ~~both~~ the State
19 Treasurer ~~and to the Cash Management and Investment Oversight~~
20 ~~Commission~~. The requirement for electronic access shall be
21 incorporated into any contract between the State Treasurer and the
22 custodial bank. Neither the State Treasurer nor the custodial bank
23 shall permit any of the funds under the control of the State
24 Treasurer or any of the documents, instruments, securities or other

1 evidence of a right to be paid money to be located in any place
2 other than within a jurisdiction or territory under the control or
3 regulatory power of the United States ~~Government~~ government.

4 ~~F.~~ G. The investment policy shall specify the general
5 philosophy, policies and procedures to be followed in the investment
6 of state monies by the State Treasurer. The investment policy shall
7 include, but not be limited to, the following:

- 8 1. Policy objectives;
- 9 2. Performance measure objectives;
- 10 3. Authority for investment program;
- 11 4. Possible use of an investment advisory committee;
- 12 5. Reporting and documentation of investments;
- 13 6. Authorized investment instruments;
- 14 7. Diversification of investment risk;
- 15 8. Maturity limitations;
- 16 9. Selections of financial institutions;
- 17 10. Interest controls;
- 18 11. Safekeeping of investments;
- 19 12. Investment ethics; and
- 20 13. Formal adoption of policy.

21 ~~G.~~ H. The State Treasurer shall provide ~~weekly~~ quarterly
22 reports of all investments made by the State Treasurer if requested
23 by the Cash Management and Investment Oversight Commission, and list
24 any commissions, fees or payments made for services regarding such

1 investments. The reports required by this subsection shall be
2 delivered to the Commission within three (3) business days of the
3 end of the applicable week.

4 ~~H. I.~~ Not later than July 1 of each year, the State Treasurer
5 shall forward a copy of the written investment policy to the
6 ~~Governor, the Speaker of the House of Representatives, the President~~
7 ~~Pro Tempore of the Senate, the Attorney General, the Bank~~
8 ~~Commissioner, and the Director of the Office of Management and~~
9 ~~Enterprise Services~~ Cash Management and Investment Oversight
10 Commission. In addition, the State Treasurer shall maintain one
11 copy of the investment policy in the ~~office~~ Office of the State
12 Treasurer for public inspection during regular business hours.
13 Copies of any modifications to the investment policy shall be
14 forwarded to ~~the Governor, Speaker of the House of Representatives,~~
15 ~~President Pro Tempore of the Senate, and~~ each member of the Cash
16 Management and Investment Oversight Commission.

17 SECTION 6. AMENDATORY 62 O.S. 2021, Section 89.7, is
18 amended to read as follows:

19 Section 89.7. A. The State Treasurer shall prepare ~~monthly~~
20 quarterly and annual investment performance reports of the Office of
21 the State Treasurer's Office Treasurer in the form and manner
22 required by the Cash Management and Investment Oversight Commission
23 after consultation with the State Treasurer which summarize recent
24 market conditions, economic developments and anticipated investment

1 conditions and the investment plan performance, including portfolio
2 diversification and rates of return measured against the investment
3 plan of the State Treasury. The annual investment performance
4 report shall be submitted to the Commission and shall be made within
5 ninety (90) calendar days after the end of the fiscal year. The
6 ~~monthly~~ quarterly investment performance reports shall be submitted
7 to the ~~Executive Review Committee~~ Commission and shall be made
8 within thirty (30) days after the end of the applicable month. The
9 investment performance reports shall specify the investment
10 strategies employed in the most recent reporting period and describe
11 the investment portfolio of the state in terms of:

- 12 1. Securities;
- 13 2. Maturities;
- 14 3. Fund type;
- 15 4. Financial institutions from which securities were purchased,
16 including the amounts and the city and state of location;
- 17 5. Investment return compared to budgetary expectations;
- 18 6. Average yield; and
- 19 7. Average life of the portfolio.

20 The investment performance reports shall also indicate any areas of
21 concern which the State Treasurer has concerning the basic
22 investment strategies being employed. The investment performance
23 reports shall contain:

24

- a. combined and individual rates of return and a list of all losses by category of investment, over periods of time~~+~~
- b. the rate of return on deposits and all fees and expenses charged as to all depository financial institutions of the State Treasury and a specific review of the adequacy of the collateralization~~+~~
- c. any other information that the State Treasurer may include~~+~~ and
- d. such other information that the Cash Management and Investment Oversight Commission created by Section 71.1 of this title may request and that the State Treasurer agrees to include in the investment performance reports.

B. To the extent that the State Treasurer should have reason to know, the State Treasurer shall also include in the investment performance reports a listing of all payments, fees, commissions, or other compensation received by any person, including but not limited to individuals, financial institutions, or investment companies or corporations, which have an investment agreement, contract, or other arrangement with the State Treasurer, or who receive any compensation as a result of a transaction involving the investment of state monies or funds or the purchase, sale, or trade of securities or bonds involving the Office of the State Treasurer.

1 ~~Said~~ The listings shall also include the social security or federal
2 identification number of any person, including, but not limited to,
3 individuals, financial institutions, or investment companies or
4 corporations, receiving payments, fees, commissions, or other
5 compensation.

6 C. The annual investment performance report shall be written in
7 simple and easily understood language containing:

8 a. ~~an~~

9 1. An analysis of the written investment plans developed by the
10 State Treasurer as required by law;

11 b. ~~a~~

12 2. A quantitative analysis of the performance of all depository
13 financial institutions approved by the State Treasurer, with regard
14 to monies deposited;

15 c. ~~the~~

16 3. The result of the analyses prepared pursuant to
17 ~~subparagraphs a and b~~ paragraphs 1 and 2 of this ~~paragraph~~
18 subsection compared with similar data for other states;

19 d. ~~recommendations~~

20 4. Recommendations on administrative and legislative changes
21 which are necessary to improve the performance of the State Treasury
22 in accordance with current standards for large public fund portfolio
23 management; and

24 e. ~~a~~

1 5. A listing by object code of the expenses of the State

2 Treasury as audited by the independent auditor provided by Section
3 89.10 of this title.

4 D. The State Treasurer shall distribute the investment
5 performance reports to the ~~Governor, the President Pro Tempore of~~
6 ~~the Senate, the Speaker of the House of Representatives, the State~~
7 ~~Auditor and Inspector, the Attorney General, and members of the Cash~~
8 Management and Investment Oversight Commission. Upon request, the
9 State Treasurer shall make the annual investment performance report
10 available to the members of the Legislature and the general public.
11 The annual investment performance report shall also include an
12 investment plan for the ensuing fiscal year.

13 E. The State Treasurer shall require all employees in the State
14 Treasury to sign an anti-collusion affidavit. Execution of a false
15 affidavit shall make such employees subject to disciplinary action,
16 including, but not limited to, termination, criminal prosecution or
17 both.

18 F. The State Treasurer shall require an anti-collusion
19 affidavit from brokers or other persons offering investment services
20 to the State Treasury. The State Treasurer shall be prohibited from
21 employing or doing business with any brokers or persons offering
22 investment services to the State Treasury who have not executed such
23 an affidavit.

1 G. The Cash Management and Investment Oversight Commission
2 shall certify that the State Treasurer has delivered to the
3 Commission the ~~monthly and annual~~ quarterly investment performance
4 reports and the annual financial report required by this section.
5 ~~If the Commission determines that these reports have not been~~
6 ~~delivered by the State Treasurer as required by law, the Commission~~
7 ~~shall notify in writing the Governor, the Speaker of the House of~~
8 ~~Representatives, the President Pro Tempore of the Senate, the~~
9 ~~Attorney General, and the State Auditor and Inspector.~~

10 SECTION 7. This act shall become effective November 1, 2025.

11
12 DIRECT TO CALENDAR.
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